

Collateral Policy

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1. Purpose and Scope

This policy governs collateral requirements, valuation, and maximum loan-to-value (LTV) ratios for all secured consumer lending products.

2. Maximum Loan-to-Value Ratios

Collateral Type	Max LTV (Prime/Near-Prime)	Max LTV (Subprime)
New vehicle	110%	95%
Used vehicle (under 7 years)	100%	85%
Primary residence (HELOC)	85% combined LTV	70% combined LTV
Business equipment	80%	65%

Subprime LTV limits apply to any applicant with a FICO score below 660 per the Credit Policy (POL-CR-001) tier definitions.

3. Valuation Requirements

Collateral must be valued using an approved source no more than 90 days before loan origination:

- Vehicles: NADA or Kelley Blue Book wholesale value
- Real property: Automated Valuation Model (AVM) for loans under \$150,000; full appraisal required above \$150,000
- Business equipment: independent appraisal required

A valuation older than 90 days at the time of underwriting is invalid and triggers mandatory manual review per POL-AP-001 Section 4.

4. Additional Collateral for Subprime Exceptions

Applicants approved under the Subprime Exception Policy (FICO below 620, see POL-EX-001 Section 2) on a securable product must provide collateral valued at no less than 120% of the loan amount, and are not eligible for the standard LTV limits in Section 2 of this policy.

5. Lien Perfection

The Bank must perfect its security interest in all collateral (UCC filing, title lien recording, or mortgage recording as applicable) prior to funds disbursement. No secured loan may fund with an unperfected lien.